Company No: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2019

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Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

CONTENTS

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

The directors hereby submit their report and the audited financial statements of the Company for the financial year ended 31 March 2019.

PRINCIPAL ACTIVITIES

The Company is principally engaged in software development and information technology outsourcing.

RESULTS

	RM
Net profit for the year after taxation representing total comprehensive income	25,972

DIVIDENDS

No dividends have been paid or declared since the end of the previous financial year. The directors do not recommend any dividend payment in respect of the current financial year.

DIRECTORS

The directors in office during the financial year and during the period from the end of the financial year to the date of the report are:-

Jacob Pillay
Huang Miew Woon
Taibah Binti Abdul Rahman @ Ling Kiong

DIRECTORS' INTERESTS

According to the Register of Directors' Shareholdings required to be kept under Section 59 of the Companies Act 2016, none of the Directors who held office at the end of the financial year held any shares or debentures in the Company or its holding company during the financial year.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

DIRECTORS' BENEFITS

Since the end of the previous financial year, no director of the Company has received or become entitled to receive any benefit by reason of a contract made by the Company or by a related corporation with the director, or with a firm of which the director is a member, or with a company in which the director has a substantial financial interest.

Neither during nor at the end of the financial year, was the Company a party to any arrangement whose object is to enable the directors to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

DIRECTORS' REMUNERATION

	RM
Professional fees paid to a company which certain Directors have interests	9,032

INDEMNITY AND INSURANCE FOR DIRECTORS AND OFFICERS

There were no indemnity given to or insurance effected for any directors, officers and auditors of the Company in accordance with Section 289 of the Companies Act 2016.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves or provisions during the current financial year other than those disclosed in the financial statements.

ISSUE OF SHARES

The Company did not issue any new shares during the financial year.

SHARE OPTIONS

No options have been granted by the Company to any parties during the financial year to take up unissued shares of the Company.

No shares have been issued during the financial year by virtue of the exercise of any option to take up unissued shares of the Company. As at the end of the financial year, there were no unissued shares of the Company under options.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

OTHER STATUTORY INFORMATION

Before the financial statements of the Company were prepared, the directors took reasonable steps:

(a) to ascertain that action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts, and are all known bad debts had been written off and adequate allowance had been made for doubtful debts; and

(b) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including the values of current assets as shown in the accounting records of the Company had been written down to an amount which the current assets might be expected so to realise.

At the date of this report, the directors of the Company are not aware of any circumstances:

(a) which would render the amount of bad debts or the amount of allowance for doubtful debts in the Company, inadequate to any substantial extent; or

(b) which would render the values attributed to the current assets in the financial statements of the Company misleading; or

(c) which have arisen which would render adherence to the existing methods of valuation of assets or liabilities of the Company misleading or inappropriate.

At the date of this report, there does not exist:

(a) any charge on the assets of the Company that has arisen since the end of the financial year which secures the liabilities of any other person; or

(b) any contingent liability in respect of the Company that has arisen since the end of the financial year.

No contingent or other liability of the Company has become enforceable, or is likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the directors, will or may substantially affect the ability of the Company to meet its obligations as and when they fall due.

At the date of this report, the directors are not aware of any circumstances, not otherwise dealt with in this report or the financial statements of the Company which would render any amount stated in the financial statements of the Company misleading.

OTHER STATUTORY INFORMATION – CONT'D

In the opinion of the directors:-

(i) the result of the Company's operations during the financial year was not substantially affected by any item, transaction or event of a material and unusual nature; and

(ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature which is likely to affect substantially the results of the operations of the Company for the financial year in which this report is made.

HOLDING COMPANY

The Directors regard Mindteck (India) Limited, a company incorporated and domiciled in India, as its holding company.

AUDITORS

The auditors, Mustapha, Khoo & Co., have indicated their willingness to continue in office.

AUDITORS' REMUNERATION

	RM
Auditors' remuneration	8,800

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

Signed on behalf of the Board, as approved by the Board in accordance with a resolution of the Directors,

Huang Miew Woon
Director

Jacob Pillay
Director

Dated: 26 JUN 2019

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS

We, Huang Miew Woon and Jacob Pillay, being two of the directors of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do hereby state that, in the opinion of the directors, the financial statements set out on pages 11 to 37 are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2019 and financial performance of the Company for the financial year ended 31 March 2019 in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016.

Signed in accordance with a resolution of the Directors,

Huang Miew Woon
Director

Jacob Pillay
Director

Dated: 26 JUN 2019

STATUTORY DECLARATION

I, Jacob Pillay, being the director primarily responsible for the financial management of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do solemnly and sincerely declare that the financial statements set out on pages 11 to 37 are, to the best of my knowledge and belief, correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Notaries Act 1952.

Subscribed and solemnly)
declared by the abovenamed)
at Bangalore)
)

Jacob Pillay
Director

Before me,

Commisioner for Oaths

NOTARY
O.S.CHENGAPPA
Bangalore
Reg #: Law 405
LCL 2014
GOVT. OF KARNATAKA

NOTARY PUBLIC
Reg # LAW 405
LCL 2014

SWORN TO BEFORE ME
O.S.CHENGAPPA
MA. LLB,
ADVOCATE & NOTARY PUBLIC
Reg.No: LAW 405 LCL 2014
Mobile No 9448536637

26 JUN 2019

MUSTAPHA, KHOO & CO (AF:0599)
Chartered Accountants, Audit & Assurance
No. 30-4 & 32-4, Jalan Kuchai Maju 10, Kuchai Entrepreneurs Park, Off Jalan Kuchai Lama, 58200 Kuala Lumpur, Malaysia.
603 7981 3337 (4 lines) 603 7982 5708
www.mustaphakhoo.com info@mustaphakhoo.com / mkkl@mustaphakhoo.com

PrimeGlobal
An Association of Independent Accounting Firms

Company No.: 718964-U

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of MINDTECK SOFTWARE MALAYSIA SDN. BHD., which comprise the statement of financial position as at 31 March 2019, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the financial year then ended, and a summary of significant accounting policies, as set out on pages 11 to 37.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2019, and of its financial performance and its cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Company in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

MALAYSIAN INSTITUTE OF ACCOUNTANTS

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Company No.: 718964-U

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

Information Other than the Financial Statements and Auditors' Report Thereon

The directors of the Company are responsible for the other information. The other information comprises the information included in the directors' report but does not include the financial statements of the Company and our auditors' report thereon.

Our opinion on the financial statements of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The directors of the Company are responsible for the preparation of financial statements of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Company No.: 718964-U

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

MUSTAPHA, KHOO & CO (AF:0599)
Chartered Accountants, Audit & Assurance
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Company No.: 718964-U

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements – Cont'd

- Evaluate the overall presentation, structure and content of the financial statements of the Company, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

Mustapha, Khoo & Co
No: AF 0599
Chartered Accountants

Khoo Siong Kee
No. 00791/04/2020 J
Chartered Accountant

Kuala Lumpur
Dated: 26 JUN 2019

MALAYSIAN INSTITUTE OF ACCOUNTANTS

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Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2019

	Note	2019 RM	2018 RM
NON-CURRENT ASSETS			
Plant and equipment	6	18,912	15,456
Intangible asset	7	1	1
		18,913	15,457
CURRENT ASSETS			
Trade and other receivables	8	6,452,559	5,364,989
Amount due from a related company	9	69,661	60,333
Amount due from holding company	10	7,887	-
Cash in hand and at banks	11	91,349	69,132
		6,621,456	5,494,454
TOTAL ASSETS		6,640,369	5,509,911
EQUITY AND LIABILITIES			
EQUITY			
Share capital	12	250,000	250,000
Retained profits	13	3,387,640	3,361,668
TOTAL EQUITY		3,637,640	3,611,668
CURRENT LIABILITIES			
Other payables	14	998,383	1,480,332
Amount due to holding company	10	655,012	326,057
Amount due to related companies	9	1,326,975	2,586
Current tax liabilities		22,359	89,268
		3,002,729	1,898,243
TOTAL LIABILITIES		3,002,729	1,898,243
TOTAL EQUITY AND LIABILITIES		6,640,369	5,509,911

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 MARCH 2019

	Note	2019 RM	2018 RM
Revenue	15	10,477,989	10,168,489
Cost of sales		(8,438,654)	(8,327,634)
Gross profit		2,039,335	1,840,855
Other income	16	40,065	16,750
Total income		2,079,400	1,857,605
Administrative and operating expenses	17	(1,961,182)	(2,141,619)
Profit / (Loss) before finance cost and taxation		118,218	(284,014)
Finance cost	18	(31,225)	-
Profit / (Loss) before taxation		86,993	(284,014)
Taxation	19	(61,021)	(385,629)
Comprehensive income / (loss) for the year		25,972	(669,643)

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2019

	Share capital RM	Retained profits RM	Total RM
2019			
As at 1 April 2018	250,000	3,361,668	3,611,668
Comprehensive income for the year	-	25,972	25,972
As at 31 March 2019	250,000	3,387,640	3,637,640
2018			
As at 1 April 2017	250,000	4,031,311	4,281,311
Comprehensive loss for the year	-	(669,643)	(669,643)
As at 31 March 2018	250,000	3,361,668	3,611,668

The accompanying notes form an integral part of these financial statements.

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2019

	Note	2019 RM	Restated 2018 RM
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit / (Loss) before taxation		86,993	(284,014)
Adjustments for:			
Depreciation of plant and equipment		7,464	8,595
Bad debts written off		57,360	33,425
Impairment loss on trade receivables		94,037	757,073
Interest expenses		31,225	-
Unrealised foreign exchange loss		7,591	6,496
Reversal of impairment loss on trade receivables		(38,412)	(15,750)
Operating profit before changes in working capital		246,258	505,825
Changes in working capital:			
Increase in trade and other receivables		(1,200,555)	(1,178,183)
Increase in amount due from a related company		(9,328)	(60,333)
(Increase) / Decrease in amount due from holding company		(7,887)	3,000
(Decrease) / Increase in other payables		(481,949)	324,198
Increase in amount due to holding company		328,955	247,705
Increase / (Decrease) in amount due to related companies		1,316,798	(719,608)
Net cash from / (used in) operating activities		192,292	(877,396)
Interest paid		(31,225)	-
Tax paid		(127,930)	(296,361)
Net cash from / (used in) operating activities		33,137	(1,173,757)
CASH FLOW FROM INVESTING ACTIVITY			
Purchase of plant and equipment		(10,920)	(710)
Net cash used in investing activity		(10,920)	(710)
Net increase / (decrease) in cash and cash equivalents		22,217	(1,174,467)
Cash and cash equivalents at the beginning of the year		69,132	1,243,599
Cash and cash equivalents at the end of the year	20	91,349	69,132

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2019

1. PRINCIPAL ACTIVITIES AND GENERAL INFORMATION

The Company is principally engaged in software development and information technology outsourcing.

There have been no significant changes in the nature of these activities during the financial year.

The Company is a limited company, incorporated and domiciled in Malaysia. The registered office of the Company is situated at Unit 16-5, Level 5, Galleria @ Cyberjaya, Jalan Tecknokrat 6, Cyber 5, 63000 Cyberjaya, Selangor Darul Ehsan.

The principal place of business of the Company is located at Unit 16-5, Level 5, Galleria @ Cyberjaya, Jalan Tecknokrat 6, Cyber 5, 63000 Cyberjaya, Selangor Darul Ehsan.

All the amounts stated in the financial statements are in Ringgit Malaysia.

2. HOLDING COMPANY

The Directors regard Mindteck (India) Limited, a company incorporated and domiciled in India, as its holding company.

3. DATE OF AUTHORISATION OF ISSUE

The financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the directors on 26 June 2019.

4. SIGNIFICANT ACCOUNTING POLICIES

(a) Basis of preparation

The financial statements of the Company have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRSs"), International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

The financial statements of the Company have been prepared under the historical cost basis, except as otherwise disclosed in the significant accounting policies.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(a) Basis of preparation – Cont'd

(i) Adoption of New MFRSs, Amendments to MFRSs and New IC Interpretation

The Company had adopted the following new MFRSs, amendments to MFRSs and new IC Interpretation that are mandatory for the current financial year:-

New MFRSs

MFRS 9	Financial Instruments (IFRS 9 as issued by IASB in July 2014
MFRS 15	Revenue from Contracts with Customers

Amendments to MFRSs

MFRS 15	Clarifications to MFRS 15
MFRS 140	Transfer of Investment Property

Annual Improvements to MFRSs 2014-2016 Cycle

New IC Interpretation

IC Int 22	Foreign Currency Transactions and Advance Consideration

The adoption of the above amendments to MFRSs do not have any effect on the financial statements of the Company.

(ii) New MFRSs, Amendments to MFRSs and New IC Interpretation that are issued, but not yet effective and have not been early adopted

The Company have not adopted the following new MFRSs, Amendments to MFRSs and New IC Interpretation that have been issued as at the date of authorisation of these financial statements but are not yet effective for the Company:-

		Effective for financial periods beginning on or after
New MFRSs		
MFRS 16	Leases	1 January 2019
MFRS 17	Insurance Contracts	1 January 2021

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(a) Basis of preparation – Cont'd

(ii)New MFRSs, Amendments to MFRSs and New IC Interpretation that are issued, but not yet effective and have not been early adopted – Cont'd

		Effective for financial periods beginning on or after
Amendments to MFRSs		
MFRS 3	Definition of a Business	1 January 2020
MFRS 9	Prepayment Features with Negative Compensation	1 January 2019
MFRS 10 and MFRS 128	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Deferred
MFRS 101 and MFRS 108	Definition of Material	1 January 2020
MFRS 128	Long-Term Interests in Associates and Joint Ventures	1 January 2019
Annual Improvements to MFRSs 2015 - 2017 Cycle		1 January 2019
Amendments to Reference to the Conceptual Framework in MFRS Standards		1 January 2020
New IC Interpretation		
IC Int 23	Uncertainty Over Income Tax Treatments	1 January 2019

The Company will adopt the above pronouncements when they become effective in the respective financial periods. These pronouncements are not expected to have any effect to the financial statements of the Company upon their initial application. A brief discussion on the above significant new MFRSs and amendments to MFRSs are summarised below.

MFRS 16 Leases

MFRS 16 introduces a single, on balance sheet lease accounting model for leases. A lessee recognizes a right-of-use asset representing its right to use the underlying asset and a lease liability representing its obligations to make lease payments. There are recognition exemptions for short-term leases and leases of low-value items. Lessor accounting remains similar to the current standard which continues to be classified as finance or operating lease.

The Company is currently assessing the financial impact that may rise from adoption of MFRS 16.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(b) Plant and equipment and depreciation

Plant and equipment are initially stated at cost. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance costs are charged to profit or loss during the financial year in which they are incurred. Costs include expenditure that is directly attributable to the acquisition of the plant and equipment.

Subsequent to recognition, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses. The policy for the recognition and measurement of impairment losses is in accordance with Note 4(c).

Depreciation is provided on the straight-line basis calculated so as to write off the cost of each plant and equipment over the expected useful life of the plant and equipment concerned.

The estimated useful lives are as follows:

Office equipment	5 years
Furniture and fittings	5 years
Computers	2 years

The residual values, useful lives and depreciation method of plant and equipment are reviewed, and adjusted if appropriate, at each reporting date to ensure that the amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of plant and equipment.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. The difference between the net disposal proceeds, if any and the net carrying amount is recognised in the profit or loss.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(c) Impairment of assets

The Company applies the simplified approach to measure expected credit losses ("ECL"). This entails recognizing a lifetime expected loss allowance for all trade receivables. Loss rate are determined based on grouping of receivables sharing the same credit risk characteristics and past due days.

Management assesses the ECL for portfolios of trade receivables based on customer segments, historical information on payment patterns, terms of payment, concentration maturity, and information about the general economic situation in the countries.

No significant changes to estimation techniques or assumptions were made during the reporting period.

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period. To assess whether there is a significant increase in credit risk, the Company compare the risk of a default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportable forward-looking information.

A significant increase in credit risk is presumed if a debtor is more than 90 days past due in making a contractual payment.

For other receivables and intercompany balances, the Company applies 3-stage approach to measure expected credit losses which reflect their credit risk and how the loss allowance is determined. The Company assessed the intercompany receivables as performing category with a low risk of default and a strong capacity to meet contractual cash flows. The basis of measuring ECL is based on 12 month ECL.

(d) Cash and cash equivalents

Cash and cash equivalents are cash in hand, bank balances, demand deposits, deposits pledged with financial institutions, bank overdrafts and short-term, highly liquid investments that are readily convertible to know amounts of cash and which are subject to an insignificant risk of changes in value.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(e) Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of the Company after deducting all of its liabilities. Ordinary shares are classified as equity instruments.

Ordinary shares are recorded at the proceeds received, net of directly attributable incremental transaction costs.

Dividends to shareholders are recognised in equity in the period in which they are declared.

(f) Income tax

Income tax for the financial year comprises current and deferred tax. Current tax is the expected amount of income taxes payable in respect of the taxable profit for the financial year and is measured using the tax rates that have been enacted or substantially enacted at the reporting date.

Deferred tax is recognised in full, using the statements of financial position liability method, on temporary differences arising at the reporting date between the tax bases of assets and liabilities and their carrying amounts in the financial statements. In principle, deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, unused tax losses and unused tax credits can be utilised. However, deferred tax is not accounted for if the temporary difference arises from goodwill or from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction, affects neither accounting nor taxable profit or loss.

Deferred tax is determined using the tax rates that are expected to apply in the financial year when the asset is realised or the liability is settled, based on the tax rates that have been enacted or substantively enacted at the reporting date. Deferred tax is recognised in the statements of comprehensive income, except when it arises from a transaction which is recognised directly in equity, in which case the deferred tax is also recognised directly in equity, or when it arises from a business combination that is an acquisition, in which case the deferred tax is included in the resulting goodwill.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(g) Revenue recognition

Revenue from contracts with customers is recognised by reference to each distinct performance obligation in the contract with customer. Revenue from contracts with customers is measured at its transaction price, being the amount of consideration which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, net of taxes, return, rebates and discounts. Transaction price is allocated to each performance obligation on the basis of the relative standalone selling prices of each distinct good or services promised in the contract. Depending on the substance of the contract, revenue is recognised when the performance obligation is satisfied, which may be at a point in time or over time.

The Company recognises revenue when or as it transfers control over a product or service to customer. An asset is transferred when (or as) the customer obtains control of the asset.

An entity transfers control of a good or service overtime and, therefore, satisfies a performance obligation and recognises revenue over time. If a performance obligation is not satisfied over time, an entity satisfies the performance obligation and recognises revenue at a point in time.

(h) Foreign currencies

(i) Functional and presentation currency

The financial statements are presented in Ringgit Malaysia (RM), which is also the Company's functional currency.

(ii) Foreign currency transactions

In preparing the financial statements of the Company, transactions in currencies other than the Company's functional currency (foreign currencies) are recorded in the functional currencies using the exchange rates prevailing at the dates of the transactions. At each reporting date, monetary items denominated in foreign currencies are translated at the rates prevailing on the reporting date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not translated.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(h) Foreign currencies –Cont'd

(ii) Foreign currency transactions – Cont'd

Exchange differences arising on the settlement of monetary items, and on the translation of monetary items, are included in profit or loss for the financial year. Exchange differences arising on the translation of non-monetary items carried at fair value are included in the profit or loss for the financial year except for the differences arising on the translation of non-monetary items in respect of which gains and losses are recognised directly in equity. Exchange differences arising from such non-monetary items are also recognised directly in equity.

The principal closing rate used in the translation of foreign currency amounts was as follows:

	2019	2018
	RM	RM
1 US dollar	4.083	3.862
1 Singapore dollar	3.013	2.946

(i) Employee benefits

(i) Short term employees benefits

Wages, salaries, paid annual leave and sick leave, bonuses and non-monetary benefits are measured on an undiscounted basis and are recognized in profit or loss in the period in which the associated services are rendered by employee of the Company.

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). Such contributions are recognised as an expense in the statements of comprehensive income as incurred.

(j) Cash flow statement

The Company adopts the indirect method in the preparation of cash flow statement.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(k) Financial instruments

(i) Financial assets

(a) Recognition and measurement of financial assets

The Company recognizes a financial asset when it becomes a party to the contractual provisions of the instrument. The Company initially recognizes trade and other receivables on the date of transaction.

At initial recognition, the Company measures a financial asset at its fair values plus, in the case of financial asset not measured at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction cost of a financial asset measured at fair value through profit or loss is recognized as profit or loss.

(b) Classification of non-derivative financial assets

Classification and measurement model of non-derivative financial assets are summarized as follows. The Company classifies financial assets at initial recognition as financial assets measured at amortized cost, debt instruments measured at fair value through other comprehensive income, equity instruments measured at fair value through other comprehensive income or financial assets measured at fair value through profit or loss.

(i) Financial assets measured at amortized cost

A financial asset that meets both the following condition is classified as a financial asset measured at amortized cost.

- The financial asset is held within the Company's business model whose objective is to hold assets in order to collect contractual cash flows.
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A financial asset measured at amortized cost is initially recognized at fair value plus transaction cost directly attributable to the asset. After initial recognition, carrying amount of the financial asset measured at amortized cost is determined using effective interest method, net of impairment loss, if necessary.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(k) Financial instruments – Cont'd

(i) Financial assets – Cont'd

(b) Classification of non-derivative financial assets – Cont'd

(ii) Debt instruments measured at fair value through other comprehensive income

A debt instrument that meets both the following condition is classified as a financial asset measured at fair value through other comprehensive income.

- The financial asset is held within the Company's business model whose objective is achieved by both collecting contractual cash flows and selling financial assets.
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt instrument measured at fair value through other comprehensive income is recognized initially at fair value plus transaction cost directly attributable to the asset. After initial recognition, the asset is measured at fair value with changes in fair value included as "financial asset at fair value through other comprehensive income" in other comprehensive income. Accumulated gains or losses recognized through other comprehensive income are directly transferred to profit or loss when debt instrument is derecognized.

(iii) Equity instruments measured at fair value through other comprehensive income

The Company makes an irrevocable election to recognized changes in fair value of investments in equity instrument through other comprehensive income, not through profit or loss. A gain or loss from fair value changes will be shown in other comprehensive income and will not be reclassified subsequently to profit or loss.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(k) Financial instruments – Cont'd

(i) Financial assets – Cont'd

(b) Classification of non-derivative financial assets – Cont'd

(iii) Equity instruments measured at fair value through other comprehensive income – Cont'd

An equity instrument measured at fair value through other comprehensive income is recognized initially at fair value plus transaction cost directly attributable to the asset. After initial recognition, the asset is measured at fair value with changes in fair value included as "financial asset at fair value through other comprehensive income" in other comprehensive income. Accumulated gains or losses recognized through other comprehensive income are directly transferred to retained earnings when equity instrument is derecognized or its fair value substantially decreased.

Dividends are recognized as "finance income" in profit or loss.

(iv) Financial assets measured at fair value through profit or loss

When any of the above-mentioned conditions for classification of financial assets is not met, a financial asset is classified as "at fair value through profit or loss" and measured at fair value with changes in fair value recognized in profit or loss.

A financial asset measured at fair value through profit or loss is recognized initially at fair value and its transaction cost is recognized in profit or loss when incurred. A gain or loss on a financial asset measured at fair value through profit or loss is recognized in profit or loss, and presented in "finance income" or "finance cost" in the statement of income for reporting period in which it arises.

(c) Derecognition of financial assets

The Company derecognizes its financial asset if the contractual rights to the cash flow from the investment expire, or the Company transfers substantially all the risks and rewards of ownership of the financial asset. Any interests in transferred financial assets that are created or continuously retained by the Company are recognized as a separate asset or liability.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(k) Financial instruments – Cont'd

(ii) Non-derivative financial liabilities

(a) Recognition and measurement of financial liabilities

The Company recognizes financial debt when the Company becomes a party to the contractual provisions of the instruments. The measurement of financial debt is explained in (b) Classification of financial liabilities.

(b) Classification of financial liabilities

(i) Financial liabilities measured at amortized cost

A financial liability other than those measured at fair value through profit or loss is classified as a financial liability measured at amortized cost. A financial liability at amortized cost is initially measured at fair value less transaction cost directly attributable to the issuance of the financial liability. After initial recognition, the financial liability is measured at amortized cost based on the effective interest rate method.

(ii) Financial liabilities measured at fair value through profit or loss

A financial liability measured at fair value through profit or loss is initially measured at fair value. After initial recognition, the financial liability is measured at fair value with subsequent changes recognized as profit or loss.

(c) Derecognition of financial liabilities

The Company derecognizes a financial liability when the financial liability is distinguished, i.e. when the contractual obligation is discharged or cancelled or expired.

(d) Preference shares

Preference shares are classified as equity or financial liabilities based on the contractual arrangements, not on their legal forms. Preference shares mandatorily redeemable on a particular date are classified as financial liabilities. Preference shares classified as liabilities are measured at amortized cost in the statement of financial position and the dividends on these preference shares are recognized as interest expense and presented as financial cost in the statement of income.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(k) Financial instruments – Cont'd

(iii) Presentation of financial assets and liabilities

Financial assets and liabilities are offset and the net amount is presented in the statement of financial position only when the Company currently has a legally enforceable right to set off the recognized amounts and intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS

Estimates and judgments are continually evaluated by the Directors and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The estimates and assumptions that affect the application of the Company's accounting policies and have a significant risk of causing a material adjustment to the carrying amounts of assets, liabilities, income and expenses are outlined below:-

(i) Depreciation of plant and equipment

The cost of plant and equipment is depreciated on the straight-line basis over the assets' useful lives. The management estimates the range of useful lives of these plant and equipment to be 2 to 5 years. However, any changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets. Therefore, future depreciation charges could be revised.

(ii) Impairment of receivables

The Company makes impairment of receivables based on an assessment of the recoverability of the receivables. Impairment is applied to receivables where events or changes in circumstances indicate that the carrying amounts may not be recoverable. The management specifically analyses historical bad debt, customer concentration, customer creditworthiness, current economic trends and changes in customer payment terms when making a judgment to evaluate the adequacy of impairment of receivables. Where expectations differ from the original estimates, the differences will impact the carrying value of receivables.

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS – CONT'D

(iii) Income taxes

There are certain transactions and calculations for which the ultimate tax determination may be different from the initial estimate. Tax liabilities are recognised based on the Company's understanding of the prevailing tax laws and estimates of whether such taxes will be due in the ordinary course of business.

Where the final outcome is different from the amounts that were initially recognised, such difference will impact the income tax and deferred tax provisions in the period in which such determination may be different from the initial estimate.

6. PLANT AND EQUIPMENT

	Office equipment RM	Furniture and fittings RM	Computers RM	Total RM
Net carrying amount as at 1 April 2017	642	19,499	3,200	23,341
Additions	-	710	-	710
Depreciation charge	(233)	(5,592)	(2,770)	(8,595)
Net carrying amount as at 31 March 2018	409	14,617	430	15,456
Additions	4,800	-	6,120	10,920
Depreciation charge	(1,073)	(5,639)	(752)	(7,464)
Net carrying amount as at 31 March 2019	4,136	8,978	5,798	18,912
Net carrying amount as at 31 March 2018				
Cost	5,905	63,522	45,551	114,978
Accumulated depreciation	(5,496)	(48,905)	(45,121)	(99,522)
Net carrying amount	409	14,617	430	15,456
Net carrying amount as at 31 March 2019				
Cost	10,705	63,522	51,671	125,898
Accumulated depreciation	(6,569)	(54,544)	(45,873)	(106,986)
Net carrying amount	4,136	8,978	5,798	18,912

7. INTANGIBLE ASSET

	Software
	RM
Net carrying amount as at 1 April 2017	1
Additions	-
Amortisation	-
Net carrying amount as at 31 March 2018	1
Additions	-
Amortisation	-
Net carrying amount as at 31 March 2019	1
Net carrying amount as at 31 March 2018	
Cost	4,294
Amortisation	(4,293)
Net carrying amount	1
Net carrying amount as at 31 March 2019	
Cost	4,294
Amortisation	(4,293)
Net carrying amount	1

8. TRADE AND OTHER RECEIVABLES

	2019	2018
	RM	RM
Trade receivables	7,039,250	5,856,833
Less: Impairment loss	(820,867)	(765,242)
	6,218,383	5,091,591
Other receivables, deposits and prepayments	234,176	273,398
	6,452,559	5,364,989

9. AMOUNT DUE FROM / (TO) RELATED COMPANIES

Amount due from / (to) related companies are unsecured, interest free and repayable on demand except for a borrowing of SGD220,000 bear interest rate of 8.5% with credit terms of 365 days.

10. AMOUNT DUE FROM / (TO) HOLDING COMPANY

Amount due from / (to) holding company is unsecured, interest free and repayable on demand.

11. CASH IN HAND AND AT BANKS

	2019 RM	2018 RM
Cash in hand	6,982	16,052
Cash at banks	84,367	53,080
	91,349	69,132

12. SHARE CAPITAL

	2019 RM	2018 RM
Issued and fully paid:		
250,000 ordinary shares	250,000	250,000

13. RETAINED PROFITS

The retained profits of the Company are available for distributions by way of cash dividends or dividends in specie. Under the single tier system of taxation, dividends payables to shareholders are deemed net of income taxes. There are no potential income tax consequences that would result from the payment of dividends to shareholders.

14. OTHER PAYABLES

Included in the other payables there is an amount owing to a related company total RM Nil (2018: RM292,060). The amount owing is unsecured, interest free and repayable on demand.

15. REVENUE

	2019 RM	2018 RM
Software development and information technology outsourcing fee	10,477,989	10,168,489

16. OTHER INCOME

	2019 RM	2018 RM
Interest income	63	79
Reversal of impairment loss on trade receivables	38,412	15,750
Sundry income	1,590	921
	40,065	16,750

17. ADMINISTRATIVE AND OPERATING EXPENSES

	2019 RM	2018 RM
Included in the above are the following expenses:-		
Auditors' remuneration	8,800	8,800
Bad debts written off	57,360	33,425
Depreciation of plant and equipment	7,464	8,595
Impairment loss on trade receivables	94,037	757,073
Realised foreign exchange losses	11,244	7,574
Rental of premise	55,750	49,872
Unrealised foreign exchange losses	7,591	6,496

18. FINANCE COST

	2019 RM	2018 RM
Interest expense	31,225	-

19. TAXATION

	2019 RM	2018 RM
Current year's provision	58,360	125,268
Under provision in prior year	2,661	260,361
	61,021	385,629

A reconciliation of income tax expenses applicable to profit / (loss) before taxation at the statutory income tax rate to the income tax expenses at the effective income tax rate of the Company is as follows:

	2019 RM	2018 RM
Profit / (Loss) before taxation	86,993	(284,014)
Income tax using Malaysia tax rate at 24%	20,878	(68,163)
Tax effects of non-deductible expenses	34,984	190,309
Deferred tax assets not recognised	2,133	-
Under provision of taxation in prior year	2,661	260,361
Others	365	3,122
Tax expense	61,021	385,629

19. TAXATION – CONT'D

The following deferred tax assets have not been recognised as the directors are unable to assured that future taxable profit will be available against which the temporary difference can be utilised.

	2019 RM	2018 RM
Deductible temporary differences of qualifying plant and equipment	8,887	-

20. CASH AND CASH EQUIVALENTS

	2019 RM	2018 RM
Cash in hand	6,982	16,052
Cash at banks	84,367	53,080
	91,349	69,132

21. EMPLOYEE INFORMATION

	2019 RM	2018 RM
Staff costs - salaries and wages	6,811,474	6,567,175
Staff costs - staff welfare	97,840	57,232
Defined contribution plan	151,256	190,048
Leave pay	-	6,313
	7,060,570	6,820,768

22. SIGNIFICANT RELATED PARTY TRANSACTION

The key management personnel compensation is as follows:-

	2019 RM	2018 RM
Professional fees paid to a company which certain Directors have interests	9,032	7,705

23. FINANCIAL INSTRUMENTS

(a) Financial risk management objectives and policies

The Company's financial risk management policy seeks to ensure that adequate financial resources are available for the development of the Company's business whilst managing its risks. The Company operates within clearly defined guidelines that are approved by the Board and the Company's policy is not to engage in speculative transactions.

The main areas of financial risks faced by the Company and the policy in respect of the major areas of treasury activity are set out as follows:-

(i) Foreign currency risk

The Company is exposed to foreign currency risk as a result of its normal trading activities, where the currency denomination differs from the local currency, Ringgit Malaysia (RM). The Company's policy is to minimise the exposure to transaction risk by matching foreign currency income against foreign currency costs.

The net unhedged financial assets and financial liabilities of the Company that are denominated in foreign currencies are as follows:

	2019 RM	2018 RM
Amount due from a related company		
SGD	69,661	60,333
Amount due from holding company		
USD Dollar	7,887	-
Amount due to related companies		
SGD	1,326,975	2,586
Amount due to holding company		
USD Dollar	655,012	326,057

(ii) Credit risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. Trade receivables are typically unsecured and are derived from revenue earned from customers primarily located in Malaysia. Credit risk is managed through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Company grants credit terms in the normal course of business.

23. FINANCIAL INSTRUMENTS – CONT'D

(a) Financial risk management objectives and policies – Cont'd

(iii)Liquidity risk

The Company seeks to achieve a balance between certainty of funding and a flexible, cost-effective borrowing structure. This is to ensure that at the minimum, all projected net borrowing needs are covered by committed facilities. Also, the objective for debt maturity is to ensure that the amount of debt maturing in any one year is not beyond the Company's means to repay and refinance.

(iv)Interest rate risk

The Company's income and operating cash flows are substantially independent of the changes in market interest rates.

(v)Market risk

The Company does not have any quoted investments and hence is not exposed to market risk.

(b)Fair value of financial instruments

Fair value is defined as the amount at which the financial instruments can be exchanged between knowledgeable willing parties in an arm's length transaction other than in a forced sale or liquidation.

The following methods and assumptions are used to estimate the fair value of each class of financial assets and financial liabilities of the Company:-

(i) Cash and bank balances

The carrying amount of cash and bank balances approximate fair value due to the relatively short term maturity of these instruments.

(ii) Receivables and payables

The carrying amounts of receivables and payables are reasonable estimates of fair value because of their short maturity periods.

23. FINANCIAL INSTRUMENTS – CONT'D

(c) Credit quality of financial assets

	Note	2019 RM	2018 RM
Financial assets :			
- Trade and other receivables	8	6,452,559	5,364,989
- Amount due from a related company	9	69,661	60,333
- Amount due from holding company	10	7,887	-
- Cash and cash equivalents	11	91,349	69,132
		6,621,456	5,494,454
Financial liabilities :			
- Other payables	14	998,383	1,480,332
- Amount due to holding company	10	655,012	326,057
- Amount due to related companies	9	1,326,975	2,586
		2,980,370	1,808,975

(d) Category of financial instruments

	2019 RM	2018 RM
Receivables		
Counterparties without external credit rating		
- Existing customer less than 6 months with no defaults in the past	6,218,383	5,091,591
Related parties		
- Related parties more than 6 months with no defaults in the past	77,548	60,333
	6,295,931	5,151,924
Cash at banks		
- AAA	84,367	53,080

23. FINANCIAL INSTRUMENTS – CONT'D

(e) Capital management

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximise shareholders value.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust capital structure, the Company may adjust the dividend payment to shareholders or issue new shares, where necessary.

The Company's approach in managing capital is based on defined guidelines that are approved by the Board. No changes were made in the objectives, policies or processes during the financial year.

The Company is not subject to any externally imposed capital requirements.

The Company monitors capital by reference to its indebtedness position, which is derived from the total financial debts divided by the total equity plus total financial debts. The Company's strategy is to maintain the balance between debt and equity and to ensure sufficient operating cash flows to repay its liabilities as and when they fall due.

24. COMPARATIVE FIGURES

During the year, the Company changed the classification of certain items in its financial statements, thus, the Company has reclassified the following comparative figures to conform to the current year's presentation:-

	As previously reported RM	Reclassification RM	As restated RM
STATEMENT OF CASH FLOWS			
Adjustments for:			
Unrealised foreign exchange loss	-	6,496	6,496
Changes in working capital:			
Increase / (Decrease) in amount due to related companies	(713,112)	(6,496)	(719,608)

FOR MANAGEMENT PURPOSES ONLY

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DETAILED PROFIT AND LOSS ACCOUNTS
FOR THE YEAR ENDED 31 MARCH 2019

	2019 RM	2018 RM
Revenue	10,477,989	10,168,489
Cost of sales (APPENDIX I)	(8,438,654)	(8,327,634)
Gross profit	2,039,335	1,840,855
Other income:		
Interest income	63	79
Reversal of impairment loss on trade receivables	38,412	15,750
Sundry income	1,590	921
Total income	2,079,400	1,857,605
Administrative and operating expenses (APPENDIX II)	(1,961,182)	(2,141,619)
Profit / (Loss) before finance cost and taxation	118,218	(284,014)
Finance cost:		
Interest expenses	(31,225)	-
Profit / (Loss) before taxation	86,993	(284,014)
Taxation	(61,021)	(385,629)
Net profit / (loss) for the year after taxation	25,972	(669,643)
Retained profits brought forward	3,361,668	4,031,311
Retained profits carried forward	3,387,640	3,361,668

Company No.: 718964-U

FOR MANAGEMENT PURPOSES ONLY
APPENDIX I

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

COST OF SALES
FOR THE YEAR ENDED 31 MARCH 2019

	2019 RM	2018 RM
Employee pass expenses	175,171	134,779
EPF	88,984	102,831
Insurance	83,070	49,970
Project supplies	-	2,712
Salaries, wages and staff welfare expenses	6,279,743	6,238,337
Socso	27,546	61,011
Sub contractor costs	1,043,097	1,029,706
Transport expenses	741,043	708,288
	8,438,654	8,327,634

FOR MANAGEMENT PURPOSES ONLY
APPENDIX II

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

ADMINISTRATIVE AND OPERATING EXPENSES
FOR THE YEAR ENDED 31 MARCH 2019

	2019 RM	2018 RM
Auditors' remuneration	8,800	8,800
Bad debts written off	57,360	33,425
Bank charges	3,409	4,440
Corporate finance fees	845,845	748,269
Depreciation of plant and equipment	7,464	8,595
Employment pass expenses	4,853	3,616
EPF	31,417	23,128
Filing and attestation	-	92
Hire charges	5,031	4,560
Impairment loss on trade receivables	94,037	757,073
Insurance	14,770	7,262
Job portal expenses	87,405	-
Meals and entertainment	3,121	362
Office repair and maintenance	5,371	5,242
Penalty	-	18,210
Postage and courier	4,327	4,589
Printing and stationery	3,330	3,036
Professional fees	24,798	14,517
Realised foreign exchange loss	11,244	7,574
Recruitment and placement fee	9,056	65,102
Rental of premises	55,750	49,872
Salary and leave encashment	531,731	335,151
Socso	3,309	3,078
Stamping fees	1,216	10
Sundry expenses	26,459	-
Telephone	20,941	22,728
Travelling expenses	84,236	-
Unrealised foreign exchange loss	7,591	6,496
Utilities	8,311	6,392
	1,961,182	2,141,619